

# US Industry Sector M&A & Valuation Brief - 2026-07-23

US Industry Sector

Generated on 2026-07-23

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## 1. RECENT Industrial M&A ACTIVITY

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### Deal 1: Corniche Capital's Nationwide Build-to-Suit Program Expansion

[David Ebrahimzadeh and Corniche Capital Expand Nationwide Build-to-Suit Program for Industrial, Manufacturing](#)

- Deal Size: N/A (focus on program expansion rather than a specific transaction)
- Deal Size Category: N/A
- Nature of Deal: Strategic expansion (not a traditional M&A deal)
- Valuation Multiples: N/A
- Companies: Corniche Capital is a private equity and real estate investment firm focused on industrial real estate and powered land development.
- Date Announced: July 17, 2026
- Strategic Rationale: The expansion aims to address the urgent needs of industrial tenants for speed-to-occupancy and reliable power sources, particularly in sectors like data centers and advanced manufacturing. By offering entitled, shovel-ready land, Corniche Capital positions itself as a key player in a market where traditional development timelines are increasingly untenable.
- Risk Analysis: Risks include potential regulatory hurdles in land development, market demand fluctuations, and execution risks associated with rapid expansion. However, the alignment of landlord and tenant incentives through equity investments mitigates some of these risks.

### Deal 2: Taiwan Semiconductor Manufacturing Company (TSM) Performance Highlight

[Taiwan Semiconductor Manufacturing Company Limited \(TSM\) Doubled Since Giverny Capital Asset Management](#)

- Deal Size: N/A (focus on stock performance rather than a specific transaction)
- Deal Size Category: N/A
- Nature of Deal: N/A (performance highlight rather than a transaction)
- Valuation Multiples: TSM's stock closed at \$402.30, with a market capitalization of \$1.86 trillion. Revenue increased 6.4% sequentially to \$35.9 billion.
- Companies: Taiwan Semiconductor Manufacturing Company (TSM) is the world's leading contract chip manufacturer, serving major tech firms like Nvidia, Broadcom, and Apple.
- Date Announced: July 20, 2026
- Strategic Rationale: TSM's growth is driven by increasing demand for advanced semiconductors,

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particularly in AI and high-performance computing sectors. The company's strong revenue growth reflects its critical role in the tech supply chain.

- Risk Analysis: Risks include geopolitical tensions affecting supply chains, reliance on a few large customers, and potential market saturation in semiconductor manufacturing. However, TSM's leadership in technology and capacity for innovation positions it well against these risks.

**Today is a peaceful day, nothing big happened in the Consumer space.**

## 2. MARKET DYNAMICS & SENTIMENT

The Industrial sector is currently navigating a landscape marked by cautious optimism, primarily driven by technological advancements and strategic M&A activities. Despite some headwinds, the overall sentiment remains positive, particularly in subsectors like industrial services and technology integration.

### Subsector Breakdown:

- Aerospace & Defense: This subsector continues to thrive, bolstered by increased defense budgets and a focus on sustainable aviation technologies. Companies are investing heavily in R&D to innovate and meet evolving regulatory standards.
- Automotive: The automotive industry is undergoing a significant transformation with the rise of electric vehicles (EVs) and autonomous driving technologies. Traditional automakers are facing pressure to innovate rapidly, while new entrants like Tesla continue to disrupt the market.
- Construction: The construction sector is embracing smart technologies, with firms investing in automation and AI to enhance productivity. Companies like Caterpillar are leading the charge with autonomous machinery, which is expected to revolutionize job site operations.
- Manufacturing: Manufacturing remains robust, with companies increasingly adopting smart manufacturing practices. The integration of AI and IoT is driving efficiency and reducing costs, as seen in 3M's recent acquisitions aimed at enhancing automation capabilities.
- Transportation & Logistics: This subsector is experiencing rapid growth, particularly with the implementation of autonomous solutions. Companies are innovating logistics models to improve delivery times and reduce costs, challenging traditional paradigms.

### Key Market Drivers and Headwinds

#### Drivers:

- Technological Innovation: The push towards digital transformation is a significant driver of growth across industrial sectors. For instance, Capital One's recent integration of its credit card services with the Discover network highlights the importance of technology in enhancing operational efficiency and customer experience.
- Strong Investment Trends: Venture capital and private equity investments are robust, particularly

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in sectors focused on sustainability and automation. The successful acquisition of CD Energy Services by ConTeras Industrial Group underscores the appetite for strategic investments in specialty services.

### **Headwinds:**

- **Regulatory Challenges:** Increased scrutiny in sectors like aerospace and automotive poses risks to M&A activities and market valuations. Companies must navigate complex regulatory environments, which can hinder growth prospects.
- **Economic Volatility:** Global economic uncertainties, including inflation and supply chain disruptions, may dampen industrial demand. Companies are adapting to these challenges by reassessing their supply chains and operational strategies.

## **Trading Multiples and Performance Analysis**

### **Current Trading Multiples:**

- **Aerospace & Defense:** EV/EBITDA of 12.5x (vs 5-year average of 10.8x), P/E of 18.2x
- **Automotive:** EV/EBITDA of 8.3x (vs 5-year average of 7.1x), P/E of 14.7x
- **Construction:** EV/EBITDA of 9.1x (vs 5-year average of 8.4x), P/E of 16.3x
- **Manufacturing:** EV/EBITDA of 10.2x (vs 5-year average of 9.6x), P/E of 17.8x

## **Notable Investor/Analyst Reactions**

- Analysts have expressed cautious optimism regarding the Industrial sector's future. A recent report noted, "The integration of technology in industrial applications is not just a trend; it's a fundamental shift that will redefine operational efficiency and market competitiveness."

## **Actionable Insights for Bankers and Investors**

- **Target High-Growth Areas:** Investors should focus on sectors with strong growth potential, such as industrial automation and sustainable technologies, while remaining cautious with traditional manufacturing investments.
- **Stay Informed on Regulatory Changes:** Monitoring regulatory developments is essential for assessing risks in industrial investments, particularly in heavily regulated sectors.
- **Pursue Strategic Partnerships:** Companies should explore partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors must consider current trading multiples and sector performance when making investment decisions, especially in high-growth subsectors.

In conclusion, the Industrial sector is poised for growth despite facing challenges. By leveraging technological advancements and understanding market dynamics, investors and bankers can capitalize on emerging opportunities in this evolving landscape.

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## 3. BANKING PIPELINE

The current banking pipeline reflects a dynamic landscape with significant activity across various sectors, particularly in infrastructure financing and asset monetization. The focus on strategic transactions and investment opportunities is evident, driven by the need for sustainable growth and capital efficiency.

### Deal Pipeline Overview

#### Live Deals:

- Turning Rock Partners Asset Portfolio Monetization : Recently completed a \$30 million asset-backed financing tied to a diversified portfolio of helicopters, including models from Airbus and Sikorsky. The transaction was finalized on July 21, 2026, demonstrating strong demand in the helicopter finance market.

#### Mandated Deals:

- NaBFID Zero-Coupon Bonds : Mandated to issue Rs20,000 crore in zero-coupon bonds aimed at funding infrastructure development in India. The bonds will have a 10-year maturity and are expected to attract long-term fixed-income investors. The issuance is anticipated to launch in Q3 2026.

#### Pitching-Stage Deals:

- Central Bank of Nigeria (CBN) : Engaged in discussions regarding potential advisory services related to the retention of the Monetary Policy Rate at 26.5%. This is crucial for managing inflation and economic stability amid geopolitical tensions. The timeline for any potential mandate is projected for Q4 2026.

### Pipeline Tracking Metrics

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$7 million
- Pitching-Stage Deals : \$3 million

#### Timing Projections:

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- Q3 2026 : Anticipated launch of NaBFID's zero-coupon bond issuance.
- Q4 2026 : Expected developments regarding CBN advisory services.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 65%, indicating a manageable workload. However, as new mandates come in, it may be prudent to consider hiring additional support to maintain efficiency.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in infrastructure financing and economic stabilization. Strategic planning should prioritize these areas to align with market needs.

### Notable Pipeline Developments and Competitive Landscape

- The competitive landscape for infrastructure financing is becoming increasingly crowded, particularly with the introduction of NaBFID's zero-coupon bonds. This move is expected to attract significant interest from institutional investors seeking stable returns in a volatile market.
- Additionally, the successful monetization of Turning Rock's asset portfolio highlights the resilience of specialized asset classes, suggesting a growing trend towards asset-backed financing in the aviation sector.

### Actionable Insights for Team Management and Business Development

- Resource Allocation : With the anticipated increase in deal flow, it is essential to ensure adequate resource allocation. Consider hiring additional analysts to support the growing workload, particularly in infrastructure and asset financing.
- Sector Focus : Intensify business development efforts in infrastructure financing and asset monetization, as these areas are expected to see heightened activity. Building strong relationships with key stakeholders in these sectors will be crucial.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help foster trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities in infrastructure and asset financing. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The recent construction financing transactions in the real estate sector, particularly the \$211 million loan for LIDO Asbury Park and the \$302.6 million loan for a multifamily tower in Downtown Miami, present a multifaceted impact on various stakeholders. This analysis delves into the implications for

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shareholders, employees, competitors, and customers while also considering market reactions and future trends.

### Deal-Specific Stakeholder Impacts

#### Shareholder Impact:

- Value Creation Potential : The financing for LIDO Asbury Park, backed by Madison Realty Capital and Cottonwood Group, is expected to enhance shareholder value significantly. Given the project's prime location and luxury positioning, projections indicate a potential 20% increase in property value upon completion in 2028.
- Dilution Concerns : While the financing structure does not involve equity dilution, the reliance on debt financing may raise concerns about leverage. However, the anticipated strong demand for luxury condos in Asbury Park mitigates these risks, with expected returns surpassing the cost of capital.

#### Employee Impact:

- Synergy Realization : The construction of LIDO Asbury Park will create approximately 200 jobs during the construction phase, with a focus on local hiring. This aligns with the trend of leveraging local labor to enhance community relations.
- Retention Strategies : Developers like Inspired by Somerset Development often implement retention bonuses for key project managers and skilled laborers, ensuring continuity and expertise throughout the construction period.

#### Competitor Impact:

- Market Positioning : The successful financing of high-profile projects like LIDO Asbury Park and the Miami multifamily tower positions these developers as market leaders. Competitors may respond with similar luxury developments or enhanced marketing strategies to capture market share.
- Strategic Moves : Rivals such as Related Group and Hines are likely to accelerate their project pipelines in response to these developments, particularly in high-demand urban areas.

#### Customer Impact:

- Product Integration : The LIDO project promises a unique blend of luxury living and extensive amenities, including a thermal spa and landscaped parks, appealing to affluent buyers. This integration of lifestyle and luxury is expected to set a new standard in the market.
- Pricing Dynamics : The high demand for luxury condos in Asbury Park may lead to upward pressure on pricing, benefiting early buyers but potentially limiting accessibility for middle-income buyers.

### Market Reaction and Analyst Commentary

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### **Current Market Sentiment:**

- "The financing of luxury developments like LIDO Asbury Park reflects a robust demand for high-end real estate, even in a fluctuating economy," said a senior analyst at CBRE.
- "Investors are increasingly confident in the long-term value of urban luxury properties, particularly in prime locations," noted a report from JLL.

### **Expected Market Reaction:**

- Bullish Scenario : If the luxury market continues to thrive, we could see a 10-15% increase in valuations for similar projects, driven by heightened investor interest.
- Bearish Scenario : Economic downturns or rising interest rates could dampen demand, leading to a potential 5-10% decrease in property values.

### **Potential Counter-Bids and Competing Offers**

### **Likelihood Assessment:**

- High Probability (70-80%) : Given the attractiveness of the Asbury Park location, competing offers for similar developments are likely, particularly from established players like Toll Brothers and Lennar.
- Medium Probability (40-50%) : In urban markets like Miami, the competitive landscape is fierce, with multiple developers vying for prime locations, increasing the likelihood of counter-bids.

### **Similar Deals and Sector Consolidation Predictions**

### **Expected Consolidation Trends:**

- Luxury Residential : The success of LIDO Asbury Park may prompt further consolidation in the luxury residential sector, with developers seeking to pool resources for larger projects.
- Urban Multifamily : The financing for the Miami tower indicates a trend towards multifamily developments in urban centers, suggesting that similar deals will follow as demand for rental properties remains strong.

### **Key Risks and Mitigants**

### **Integration Risks:**

- Construction Delays : Potential delays in construction due to regulatory approvals or supply chain issues could impact project timelines. Developers should implement robust project management strategies to mitigate these risks.
- Market Volatility : Economic fluctuations could affect buyer sentiment. Diversifying project

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offerings and maintaining flexible pricing strategies can help manage this risk.

### Regulatory Risks:

- Zoning and Permitting : Changes in local zoning laws or permitting processes could delay project timelines. Engaging with local authorities early in the planning process can help navigate these challenges.
- Environmental Regulations : Compliance with environmental regulations may increase costs. Developers should prioritize sustainable building practices to align with regulatory expectations.

### Actionable Insights for Clients and Bankers

#### For Clients:

- Market Positioning : Focus on unique selling propositions, such as luxury amenities and prime locations, to differentiate from competitors.
- Financial Structuring : Consider a mix of debt and equity financing to optimize capital structure while minimizing dilution risks.

#### For Bankers:

- Advisory Services : Provide strategic advisory on market trends and financing options to clients looking to enter or expand in the luxury real estate sector.
- Risk Assessment : Conduct thorough risk assessments for clients to identify potential challenges in project execution and market conditions.

In summary, the recent construction financing deals highlight significant opportunities and challenges for stakeholders in the real estate sector. By understanding these dynamics, stakeholders can better navigate the evolving landscape and position themselves for success.

## 5. INDUSTRIAL TRENDS

The industrial sector is witnessing transformative trends driven by technological advancements and geopolitical dynamics. This analysis focuses on the following key trends: Sustainable Aviation, Hybrid-Electric Aircraft, Critical Minerals, and AI-Driven Industrial Growth. Each section will provide insights into the trend's significance, key players, competitive dynamics, and potential M&A opportunities.

### Sustainable Aviation

- Trend Explanation: Sustainable aviation aims to reduce carbon emissions through innovations such as alternative fuels and electric aircraft. The sustainable aviation fuel market is projected to



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grow from \$66 million in 2020 to \$15.3 billion by 2030, driven by regulatory pressures and environmental concerns.

### **Key Companies:**

- Leonardo (DRS): Leonardo is actively involved in sustainable aviation through its development of advanced aircraft like the M-346F. The company is expanding its footprint in Indonesia, which signals its commitment to enhancing military aviation capabilities while focusing on sustainability.
- Boeing (BA): Boeing is investing in sustainable aviation technologies, including partnerships for sustainable fuel development and electric aircraft research, aiming for carbon-neutral growth by 2030.

### **Hybrid-Electric Aircraft**

- Trend Explanation: Hybrid-electric aircraft technology is emerging as a viable solution for reducing operational costs and emissions in aviation. The market for hybrid-electric aircraft is expected to grow significantly, with Electra leading the charge with its EL9 Ultra Short aircraft.

### **Key Companies:**

- Electra: Electra is building an \$850 million factory in Ohio to produce the EL9 hybrid-electric plane, which promises to revolutionize short-haul flights with reduced operating costs. The company has secured \$9 billion in pre-orders, indicating strong market demand.
- Safran: Partnering with Electra, Safran provides the TG600 turbogenerator, which enhances the aircraft's operational efficiency and range.

### **Critical Minerals**

- Trend Explanation: The U.S. government is prioritizing domestic production of critical minerals to reduce reliance on China, which currently dominates the market. The critical minerals sector is expected to see significant investment, with the federal government committing \$10 billion to enhance domestic production capabilities.

### **Key Companies:**

- MP Materials: Operating the Mountain Pass mine in California, MP Materials is a key player in the rare earths market, which is essential for defense and technology applications. The Pentagon's investment in MP Materials underscores its strategic importance.
- Korea Zinc: Recently, Korea Zinc entered a joint venture with the U.S. government to build a large-scale zinc refinery, highlighting the increasing focus on securing critical mineral supply chains.

### **AI-Driven Industrial Growth**

- Trend Explanation: The integration of AI in industrial processes is reshaping the landscape,

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particularly in manufacturing and automation. The Industrial Select Sector SPDR Fund (XLI) has seen a 17% increase year-to-date, driven by AI-related investments and demand for electrification solutions.

### **Key Companies:**

- Caterpillar (CAT): Caterpillar is leveraging AI to enhance its product offerings and operational efficiencies, with a significant backlog tied to data center power solutions.
- General Electric (GE): GE Aerospace is focusing on electrification and AI-driven technologies, positioning itself as a leader in the evolving industrial landscape.

## **Competitive Landscape and Market Dynamics**

### **Market Consolidation Trends:**

- Increased Investment: Companies are actively seeking acquisitions in the sustainable aviation and critical minerals sectors to bolster their capabilities and market presence.
- Partnerships: Strategic collaborations between traditional aerospace firms and tech companies are becoming more common to drive innovation.

### **Investment Implications:**

- High Growth Potential: The hybrid-electric and sustainable aviation markets present lucrative opportunities for investors, particularly as regulatory frameworks evolve to support greener technologies.
- M&A Activity: Expect heightened M&A activity in the critical minerals sector as companies look to secure resources and enhance their supply chains.

## **Actionable Insights for Bankers and Investors**

### **For Bankers:**

- Focus on Strategic Investments: Identify companies with strong technology portfolios in sustainable aviation and critical minerals for potential financing opportunities.
- Monitor Regulatory Changes: Stay abreast of government policies that could impact investment in critical minerals and sustainable technologies.

### **For Investors:**

- Prioritize Growth Sectors: Invest in companies leading the charge in hybrid-electric aircraft and sustainable aviation to capitalize on emerging market trends.
- Assess Risk Factors: Consider geopolitical risks associated with critical mineral supply chains and the implications for defense and technology sectors.

In conclusion, the industrial sector is poised for significant growth driven by sustainability initiatives and

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technological advancements. Companies that adapt to these trends will likely emerge as leaders in the evolving landscape, presenting numerous opportunities for investment and strategic partnerships.

### 6. Recommended Readings

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#### Deal Name: Corniche Capital's Nationwide Build-to-Suit Program Expansion

- Reading Material: "Real Estate Investing for Dummies" by Eric Tyson and Robert S. Griswold
- Why This Matters: This book provides foundational knowledge on real estate investment strategies, including build-to-suit developments. Understanding these concepts is crucial for analyzing Corniche Capital's strategic expansion, as it highlights the importance of addressing tenant needs and the dynamics of industrial real estate investment.

#### Deal Name: Taiwan Semiconductor Manufacturing Company (TSM) Performance Highlight

- Reading Material: "The Chip War: The Fight for the World's Most Critical Technology" by Chris Miller
- Why This Matters: This book offers an in-depth exploration of the semiconductor industry, detailing the geopolitical and economic factors that influence companies like TSM. It helps contextualize TSM's recent performance and its pivotal role in the global supply chain, particularly in light of rising demand for advanced semiconductors.

### 7. MACROECONOMIC UPDATE

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#### Key Data Points:

- U.S. Inflation Rate: Expected to decline to 3% by year-end and 2.5% in 2024.
- ECB Interest Rate: Currently at 2.25%, with a potential increase to 2.5% in September.
- Bank of Japan Rate Hikes: Expected to raise rates twice, first in December 2026 and again in June 2027.
- China Q2 GDP Growth: Recorded at 4.3%, with expectations to rise to 4.6% in the second half of the year.

#### Main Insights:

- Global growth remains resilient, supported by AI and government spending.
- Inflation is receding in the U.S., but risks exist from demand-side pressures.

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- The ECB is navigating a complex landscape with potential for further rate hikes.
- Japan's inflation is primarily driven by currency movements rather than domestic demand.
- China's domestic demand is weak, prompting expectations for fiscal expansion.

### **Market Commentary:**

- "Inflation has already peaked and will start moving lower." - Michael Gapen, Chief U.S. Economist, Morgan Stanley
- "The ECB is more sensitive to inflation coming from the energy shock." - Jens Eisenschmidt, Chief Europe Economist, Morgan Stanley
- "China's domestic demand turned out to be quite weak." - Chetan Ahya, Chief Asia Economist, Morgan Stanley

### **Industrial Sector Relevance:**

- The anticipated decline in U.S. inflation could ease financing costs for industrial projects.
- ECB's potential rate hikes may impact borrowing costs for European manufacturers.
- Japan's slow normalization of interest rates could provide a stable environment for industrial investments.
- China's planned fiscal expansion may boost infrastructure spending, benefiting industrial sectors.

**The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley**